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NESTLÉ INDIA'S HEADQUARTERS on Gurugram's Jacaranda Marg is striking in its minimalism. Spread across seven floors, the triangular building is dwarfed by skyscrapers of other large corporations. While most other multinationals share offices with peers across the Millennium City, the country's largest food & beverages company keeps its affairs private in an isolated building. The simple office interior, packed with a few hundred employees who ditch fancy corporate suits, reflects its austere culture.

In contrast to his peers in tailored suits, Suresh Narayanan, 62, Chairman and Managing Director of Nestlé India, appears in a dark grey blazer and sports a smile. Unlike other top CEOs who hold MBA degrees from IIMs, Narayanan holds a master's degree in economics. His dream of becoming a bureaucrat by clearing the UPSC civil services exams changed course when campus placements at the Delhi School of Economics landed him a job at Hindustan Unilever (HUL). After nearly a decade at HUL's food & beverages division and a short stint at Colgate-Palmolive, Narayanan spent the next two decades with Nestlé and, clearly, its culture has rubbed off. Yet, he has completely transformed the company's India operations to reflect a more aggressive persona.

Till a few years ago, the low-profile, media-shy company had built its India business at an unremarkable pace, ensconced in the comfort of near-monopolistic market shares in key categories. But in 2015, Nestlé's placid journey was shattered by a countrywide ban on its popular Maggi noodles, following allegations of contamination, resulting in hundreds of crores in losses. Facing an existential crisis, the top management at Vevey, Switzerland flew in Narayanan, who had steered its business during the Arab Spring crises in North Africa, to rescue the local unit. Since then, the first Indian honcho

of Nestlé has steered the company through its crises and struggles, and delivered top-line growth of 10.3 per cent CAGR from ₹8,180 crore in 2015 to ₹14,710 crore in 2021. In the same period, net profit has risen 12.3 per cent.

That growth came through a sea change in Nestlé's go-to-market strategy that was aimed first at handling the Maggi crisis, and thereafter to keep pace with more aggressive competitors in the market. And by the looks of it, the pace of growth appears unlikely to slow down in the future. Unlike most multinationals, Nestlé's business strategy was focussed more on healthy margins and bottom lines than on growing its sales or widening its retail footprint beyond the large metros packed with consumers who can afford its premium offerings. Since 2016, though, it has adopted a growth-led strategy that involves frequent launches to expand its portfolio and going deeper into untapped markets. According to Abhijit Kundu, Senior Vice President at Antique Stock Broking, unlike earlier, the management is now focussed on growing sales aggressively. "The recent attempts in new product development and increasing its reach in the rural markets are a reflection of that," he says.

Traditionally an urban-centric company, Nestlé India begun pushing the throttle on rural expansion only in late-2017. It divided the markets under 15 clusters based on consumer profile like demography, income levels, size of the market and penetration of brands. The plan was to cater to diverse consumer needs across the country with customised products and promotions. These clusters are equipped with teams that focus on the defined territories, gather consumer data, devise region-specific market strategies, and offer feedback on new product development and campaigns specific to the clusters. That is the direct opposite of the earlier approach, where uniform products and promotional campaigns for all of India were finalised in the conference rooms of Nestlé House.

Adoption of a "strong rural-focussed strategy" meant increasing distribution points, expanding its product reach to more villages, a larger on-ground sales force, and identifying micro-markets to boost sales of

₹14,710 CRORE

**NESTLÉ INDIA'S SALES IN 2021,
COMPARED TO ₹8,180 CRORE IN
2015—A CAGR OF 10.3 PER CENT**